

Final Exam Preparation Quiz

Chapters 31–36 · Mankiw, *Principles of Economics* (9th ed.)

Instructor: Teguh Dartanto | teguh.dartanto@ui.ac.id

Difficulty Breakdown

EASY5 Qs

MODERATE15

HARD10

Name: _____ Date: _____

Student ID: _____ Score: _____

Instructions: This quiz contains **30 multiple-choice questions** drawn randomly from Chapters 31–36; questions are *not* grouped by chapter. Choose the **single best** answer. Each question shows a coloured **difficulty bar** (left edge) and two badges: difficulty level and source chapter.

1. **HARD** **Ch. 36** **Rules, Credibility, and Time-Inconsistency.** Bank Indonesia announced in 2023 that it would maintain its inflation target of $2.5\% \pm 1\%$ regardless of short-run growth pressures. A policymaker argues: “Even if the announcement is believed today, future governments may deviate – so the announcement alone is insufficient.” This refers to which core concept in the rules-vs-discretion debate, and what institutional mechanism does Mankiw suggest to overcome it?

- a. The *time-inconsistency problem*: once agents expect low inflation and reduce wage demands, the government is tempted to exploit this with surprise stimulus; independence and rule-based mandates (e.g., inflation targeting laws) help overcome this by raising the cost of deviation.
- b. The *sacrifice ratio problem*: disinflation always requires a recession, so no institutional mechanism makes announcements credible.
- c. The *liquidity trap*: at the zero lower bound, announcements have no effect on investment or consumption.
- d. The *Ricardian equivalence theorem*: households discount future taxes, rendering fiscal announcements irrelevant regardless of credibility.

2. **MODERATE** **Ch. 31** Indonesia’s current account recorded a surplus of approximately USD 7.7 billion in Q3 2023. By the national saving identity ($NX = S - I$), which statement is *necessarily* true?

- a. Indonesia was a net importer of financial capital in that quarter.

- b. National saving exceeded domestic investment, making Indonesia a net exporter of financial capital (net lender to the world).
- c. The government ran a budget surplus that quarter.
- d. Domestic investment exceeded national saving.

3. **MODERATE** Ch. 33 Indonesia's GDP fell by -2.07% in 2020, the first annual contraction since 1998. Using the AD–AS model, the COVID-19 pandemic is best characterised as:

- a. A rightward shift of LRAS due to permanent destruction of productive capacity.
- b. A leftward shift of SRAS only, raising prices and cutting output simultaneously.
- c. Simultaneous leftward shifts of *both* AD (collapsing demand) and SRAS (supply-chain disruptions), producing a sharp fall in output; the net price effect depends on which shift dominates.
- d. A movement *along* the existing AD curve as prices fell.

4. **EASY** Ch. 35 The *long-run* Phillips curve is:

- a. Downward sloping, confirming a permanent trade-off between inflation and unemployment.
- b. Upward sloping, showing higher inflation causes higher unemployment in the long run.
- c. Horizontal at the target inflation rate set by the central bank.
- d. Vertical at the natural rate of unemployment, implying no long-run trade-off between inflation and unemployment.

5. **HARD** Ch. 32 Indonesia operates as a small open economy. Suppose the world real interest rate rises from 3% to 5% due to US Federal Reserve tightening. Trace the *full* sequence of effects on: (i) domestic investment, (ii) net capital outflow (NCO), (iii) supply of Rupiah in the foreign-exchange market, and (iv) the real exchange rate.

- a. Investment falls; NCO rises (Indonesians lend more abroad); Rupiah supply in the forex market rises; real exchange rate depreciates; net exports improve.
- b. Investment rises; NCO falls; Rupiah appreciates; net exports fall.
- c. Investment falls; NCO falls; Rupiah appreciates; net exports fall.
- d. Investment rises; NCO rises; Rupiah depreciates; net exports rise.

6. **MODERATE** Ch. 34 The theory of *liquidity preference* states that the interest rate adjusts to equilibrate the supply and demand for money. If Bank Indonesia unexpectedly *cuts* the money supply to curb high inflation (as it did in 2022), the short-run impact on investment and aggregate demand is:

- a. Money supply falls $\rightarrow$ interest rate falls $\rightarrow$ investment rises $\rightarrow$ AD shifts right (expansionary).
- b. Money supply falls $\rightarrow$ bond prices rise $\rightarrow$ interest rate falls $\rightarrow$ consumption rises $\rightarrow$ AD shifts right.
- c. Money supply falls $\rightarrow$ interest rate rises $\rightarrow$ investment falls $\rightarrow$ AD shifts left (contractionary).
- d. Money supply falls $\rightarrow$ price level falls immediately $\rightarrow$ real output unchanged (classical dichotomy holds in the short run).

7. **MODERATE** Ch. 36 **Debate: Should the Government Balance its Budget Every Year?** Indonesia's fiscal law caps the deficit at 3% of GDP. During COVID-19, this cap was lifted (Perppu 1/2020), allowing the deficit to reach 6.1% of GDP in 2020. Critics of strict annual balance requirements argue that:

- a. Annual balance maximises long-run growth by keeping debt-to-GDP ratios low at all times.
- b. Strict annual balance eliminates automatic stabilisers, forcing *pro-cyclical* austerity that deepens downturns – as Indonesia wisely avoided in 2020.
- c. Deficits in recessions always cause hyperinflation due to money creation.
- d. The balanced-budget multiplier equals zero, so the fiscal stance is irrelevant.

8. **HARD** Ch. 33 Indonesia's economy is in long-run equilibrium: $Y^* = \text{Rp } 19,600 \text{ tr}$, price level $P_0 = 100$. A negative supply shock (global oil price spike) shifts SRAS left, reducing output to $\text{Rp } 17,640 \text{ tr}$ and raising the price level to $P_1 = 115$. The government faces a *policy dilemma*. Which description is correct?

- a. Expand AD: output recovers to Y^* and the price level returns to 100 – no trade-off exists.
- b. Contract AD: price level falls to 100 *and* output recovers to Y^* simultaneously.
- c. Do nothing: SRAS shifts right automatically within one quarter as oil prices self-correct, restoring Y^* and P_0 quickly.
- d. Expand AD to restore Y^* but price level rises *above* 115 (validates the supply-shock inflation); or do nothing – SRAS self-corrects back to Y^* at $P_1 = 115$. Policymakers face a genuine inflation-output trade-off with no costless option.

9. **HARD** Ch. 31 Indonesia's national accounts (Rp trillion): $Y = 19,600$; $C = 9,800$; $I = 3,500$; $G = 2,900$; $T = 2,500$. Calculate (i) NX , (ii) national saving S , (iii) net capital outflow NCO , and verify the identity $S - I = NCO = NX$.

- a. $NX = +\text{Rp } 3,400 \text{ tr}$; $S = \text{Rp } 6,900 \text{ tr}$; $NCO = +\text{Rp } 3,400 \text{ tr}$. Identity confirmed; Indonesia is a **net lender**.
- b. $NX = -\text{Rp } 1,400 \text{ tr}$; $S = \text{Rp } 5,300 \text{ tr}$; $NCO = -\text{Rp } 400 \text{ tr}$ (net borrower).
- c. $NX = +\text{Rp } 400 \text{ tr}$; $S = \text{Rp } 4,900 \text{ tr}$; $NCO = +\text{Rp } 400 \text{ tr}$ (small net lender).
- d. $NX = 0$; $S = I$; $NCO = 0$ – balanced trade.

10. **MODERATE** Ch. 35 In 2023 Bank Indonesia held the BI Rate at 5.75% despite pressure to cut, aiming to “anchor inflation expectations.” In the expectations-augmented Phillips curve ($\pi = \pi^e - \alpha(u - u^*)$), successfully anchoring π^e at 2.5% when actual inflation is falling means:

- a. The short-run Phillips curve shifts upward, making disinflation more costly.
- b. Unemployment must rise permanently above u^* to keep inflation at target.
- c. The short-run Phillips curve stays anchored at a lower level, reducing the unemployment cost (sacrifice ratio) of maintaining low inflation.
- d. The long-run Phillips curve shifts leftward, lowering the natural rate.

11. **EASY** Ch. 34 In a fractional-reserve banking system with a required reserve ratio of 10%, the money multiplier is:

- a. 5

- b. 10
- c. 20
- d. 0.10

12. **MODERATE** Ch. 32 In the Mundell-Fleming model with a *fixed* exchange rate, fiscal policy is:

- a. Completely ineffective because higher government spending is offset by exchange-rate appreciation.
- b. Partially effective because crowding-out of private investment reduces the multiplier.
- c. Ineffective because the money supply adjusts to maintain the peg, reinforcing the fiscal contraction.
- d. Highly effective because the central bank must expand the money supply to maintain the peg when fiscal stimulus raises money demand, amplifying the multiplier effect.

13. **HARD** Ch. 36 **Ricardian Equivalence in Indonesia.** The government cuts income taxes by Rp 200 tr, financed by issuing bonds, promising to raise taxes in the future. A strict Ricardian equivalence result predicts:

- a. Households save the full Rp 200 tr tax cut (anticipating future tax hikes), leaving consumption, investment, and aggregate demand *unchanged*; the government's fiscal stimulus is entirely offset.
- b. Households spend the full Rp 200 tr, shifting AD right by the full amount times the multiplier.
- c. Households spend half and save half; AD rises by half the multiplier effect.
- d. Households increase investment rather than saving, leaving consumption unchanged but raising total output.

14. **MODERATE** Ch. 33 The *sticky-wage theory* of the short-run aggregate supply curve implies that when Indonesia's actual price level unexpectedly rises above the level workers anticipated when negotiating wages:

- a. Real wages rise, firms lay off workers, and output falls.
- b. Nominal wages adjust immediately upward, restoring real wages and output to their original levels.
- c. Real wages fall (nominal wages are fixed but prices are higher), firms find labour cheaper and hire more, causing output to rise above Y^* .
- d. The SRAS curve shifts left, raising the price level further.

15. **MODERATE** Ch. 31 The Law of One Price and Purchasing Power Parity predict that Indonesia's higher inflation relative to its trading partners should, in the long run, cause the Rupiah to:

- a. Appreciate, because higher prices attract foreign investment.
- b. Depreciate by approximately the inflation differential, keeping the real exchange rate stable.
- c. Remain unchanged because the central bank targets the nominal exchange rate.
- d. Appreciate if Indonesia runs a trade surplus simultaneously.

16. HARD Ch. 35 Indonesia's Phillips curve: $\pi = \pi^e - 0.5(u - u^*)$, $u^* = 4.5\%$. Currently $\pi^e = 4\%$ and actual inflation $\pi = 6\%$. **(i)** Find the current unemployment rate. **(ii)** If Bank Indonesia targets $\pi = 3\%$ (holding π^e fixed), what unemployment rate is required? **(iii)** Using Okun's Law (1 pp excess unemployment = 2% output loss) and $Y^* = \text{Rp } 19,600 \text{ tr}$, what is the output cost in Rupiah?

- a. Current $u = 2.5\%$; required $u = 6.5\%$; output loss = Rp 784 tr.
- b. Current $u = 0.5\%$; required $u = 8.5\%$; output loss = Rp 1,568 tr.
- c. Current $u = 3.5\%$; required $u = 5.5\%$; output loss = Rp 392 tr.
- d. Current $u = 0.5\%$; required $u = 6.5\%$; output loss = Rp 784 tr.

17. HARD Ch. 34 The Quantity Theory states $MV = PY$. Bank Indonesia increases M by 8%; velocity V is constant; real output Y grows at its potential rate of 5%. **(i)** What is the resulting inflation rate? **(ii)** If the Fisher equation holds with a real interest rate of 2%, what is the nominal interest rate? **(iii)** What happens to real output in the long run?

- a. Inflation = 3%; nominal interest rate = 5%; real output grows at 5% (monetary neutrality holds).
- b. Inflation = 8%; nominal interest rate = 10%; real output rises by 8% (money is not neutral).
- c. Inflation = 5%; nominal interest rate = 7%; real output falls by 3%.
- d. Inflation = 13%; nominal interest rate = 15%; real output falls to zero.

18. EASY Ch. 32 In a small open economy, if the domestic real interest rate equals the world real interest rate and national saving equals domestic investment, then:

- a. The country is a net borrower from abroad.
- b. The country is a net lender to abroad.
- c. Net exports and net capital outflow are both zero (balanced trade).
- d. The nominal exchange rate must be depreciating.

19. MODERATE Ch. 36 **Debate: Active vs. Passive Stabilisation Policy.** Proponents of *passive* (rules-based) policy argue that discretionary interventions are often destabilising because of:

- a. The multiplier effect, which makes fiscal policy too powerful to control.
- b. Long and variable lags – inside lags (recognition, decision, implementation) and outside lags (transmission) – meaning stimulus may arrive after the recession has ended, overheating the economy.
- c. Central bank independence, which prevents timely interest rate cuts.
- d. Ricardian equivalence, which makes fiscal policy automatically ineffective.

20. HARD Ch. 33 Indonesia's economy is below potential ($Y < Y^*$, negative output gap), price level $P = 95$. The government debates: (A) wait for the self-correcting mechanism (falling wages shift SRAS right); (B) expand fiscal policy (shift AD right). Compare the *final long-run* outcomes for output, price level, and speed of adjustment.

- a. Option A: output permanently below Y^* ; Option B: output above Y^* – neither restores

equilibrium automatically.

- b. Option A: price level falls further; Option B: price level also falls – both options produce deflation.
- c. Option A is faster (wages adjust quickly); Option B is slower (fiscal multiplier lags dominate).
- d. Both options ultimately restore Y^* ; Option B is faster but risks overshooting the price level (inflation); Option A is slower but avoids the risk of policy error and price overshooting.

21. **MODERATE** Ch. 35 After the 1998 Asian Financial Crisis, Indonesia's natural rate of unemployment rose due to structural industry realignment. In the Phillips curve framework, a permanent rise in u^* implies:

- a. The long-run Phillips curve shifts rightward; sustaining the same inflation rate now requires higher unemployment; the economy faces a worse permanent trade-off.
- b. The short-run Phillips curve shifts downward; inflation is lower for any given unemployment rate.
- c. The sacrifice ratio falls, making disinflation cheaper.
- d. Inflation automatically rises to compensate for higher unemployment.

22. **EASY** Ch. 31 A *trade deficit* means:

- a. Exports exceed imports; the country is a net lender.
- b. National saving exceeds domestic investment.
- c. Imports exceed exports; the country is a net borrower from the rest of the world.
- d. The government is running a budget deficit.

23. **MODERATE** Ch. 34 Indonesia's government announces a Rp 300 tr tax *cut* ($MPC = 0.75$) and simultaneously increases government spending by Rp 300 tr. Ignoring crowding out, the *net* effect on aggregate demand is:

- a. Zero – the two policies cancel each other exactly.
- b. A net expansionary effect of Rp 300 tr: the spending multiplier is $\frac{1}{1-0.75} = 4$ while the tax-cut multiplier is $\frac{0.75}{1-0.75} = 3$; the balanced-budget multiplier = 1, so AD rises by Rp 300 tr.
- c. A contractionary effect because taxes are distortionary.
- d. A net expansionary effect of Rp 2,400 tr (sum of both full multipliers).

24. **HARD** Ch. 32 Indonesia has a flexible exchange rate. Foreign investors lose confidence in Indonesian assets following a sovereign rating downgrade (similar to capital flight in 2018). Using the loanable-funds and foreign-exchange markets together, trace the full adjustment:

- a. NCO falls; Rupiah supply in forex falls; Rupiah appreciates; NX falls; AD shifts right.
- b. NCO rises (Indonesians buy back assets from foreigners); Rupiah appreciates; NX rises; current account improves immediately.
- c. NCO falls; domestic interest rate falls; investment rises; NX rises; AD rises.
- d. NCO rises (foreigners sell Indonesian assets – capital outflow); Rupiah supply in forex rises; Rupiah depreciates; net exports rise (improving current account), partially offsetting

the capital outflow.

25. HARD Ch. 36 Debate: Should the Tax Code Encourage Saving? Indonesia's household saving rate has been historically low ($\approx 30\%$ of GDP). Economists who favour shifting from income taxes to consumption taxes (expanding VAT while cutting PPh 21) argue this would:

- a. Raise the after-tax return to saving $\rightarrow$ increase national saving $\rightarrow$ increase loanable funds $\rightarrow$ lower real interest rates $\rightarrow$ crowd in investment $\rightarrow$ raise long-run capital formation and GDP growth.
- b. Have no effect on saving because of Ricardian equivalence – households always save optimally regardless of tax structure.
- c. Reduce consumption so sharply that GDP falls permanently in the long run.
- d. Raise investment but lower consumption so much that GDP falls in the long run.

26. EASY Ch. 33 The aggregate demand (AD) curve slopes downward because a lower price level:

- a. Reduces the cost of production, shifting supply outward.
- b. Lowers nominal wages, raising employment directly.
- c. Increases the real value of money holdings (wealth effect), lowers interest rates (Keynes effect), and makes domestic goods cheaper for foreigners (exchange-rate effect) – all increasing quantity demanded.
- d. Decreases taxes automatically through fiscal drag.

27. HARD Ch. 35 The *sacrifice ratio* for Indonesia is estimated at 2 (i.e., 1 pp reduction in inflation requires a cumulative output loss of 2% of GDP). Indonesia wants to reduce inflation from 7% to 3% over two years. (i) What is the total cumulative output loss as a % of GDP? (ii) In Rupiah terms ($Y^* = \text{Rp } 19,600 \text{ tr}$), what is the total output loss? (iii) If Bank Indonesia instead runs a fully *credible* cold-turkey disinflation with perfectly rational agents, what happens to the sacrifice ratio?

- a. Total output loss = 4% of GDP; Rp 784 tr; sacrifice ratio rises under cold-turkey disinflation.
- b. Total output loss = 8% of GDP; Rp 1,568 tr; with perfect credibility and rational expectations the sacrifice ratio approaches zero (Sargent's result – credible disinflation need not be costly).
- c. Total output loss = 4% of GDP; Rp 784 tr; sacrifice ratio is unchanged regardless of credibility.
- d. Total output loss = 2% of GDP; Rp 392 tr; sacrifice ratio doubles under credible policy.

28. MODERATE Ch. 34 During 2020–2021, Bank Indonesia cut the BI Rate seven times (from 5% to 3.5%) while the government ran a deficit of 6.1% of GDP. This coordinated policy is an example of:

- a. Contractionary monetary + contractionary fiscal policy (austerity mix).
- b. Expansionary monetary + contractionary fiscal policy (growth-oriented consolidation).
- c. Contractionary monetary + expansionary fiscal policy (fiscal dominance).

- d. Expansionary monetary + expansionary fiscal policy (double stimulus), designed to shift AD rightward and cushion the COVID-19 recession.

29. **MODERATE** **Ch. 31** Indonesia's nominal exchange rate is Rp 15,000/USD. Indonesia's price level rises by 5% while the US price level rises by 2%. Assuming the real exchange rate is unchanged, what new nominal exchange rate is predicted by relative PPP?

- a. Rp 15,441/USD – the Rupiah depreciates by the inflation differential of approximately 3%.
- b. Rp 14,571/USD – the Rupiah appreciates by 3%.
- c. Rp 15,750/USD – the Rupiah depreciates by 5%.
- d. Rp 15,000/USD – the exchange rate is unchanged; the real rate adjusts instead.

30. **MODERATE** **Ch. 32** In 2018, Indonesia experienced significant capital outflows and the Rupiah fell $\approx 10\%$ against the USD. Under the Mundell-Fleming model with a *flexible* exchange rate, a contractionary monetary policy response (raising the BI Rate) would:

- a. Depreciate the exchange rate further by reducing capital inflows.
- b. Stimulate output by lowering the cost of borrowing for firms.
- c. Attract capital inflows by raising domestic returns, appreciating the Rupiah and reducing imported inflation – though at the cost of lower domestic investment and output.
- d. Have no effect on the exchange rate because Indonesia is a price-taker in world goods markets.